Week 10 – Responsible Financial Management

1. **What makes a good business?**

    Businesses utilise resources to create products and/or services with more value than the original input and turns this additional value into profit, generating fund for its owners and providing customers with useful products/services. A good business is able operate sustainably and legitimately, and is capable of adapting its business model to the ever changing market.

2. **What impacts do businesses have on people and the environment beyond profit?**

    Businesses can have significant social and environmental impacts to external stakeholders such as the general community in their day-to-day business operations. Manufacturing companies produce waste that can negatively impact the surrounding environment where they operate. This most obviously affects the natural ecology of the environment, but can extend to damaging parks and waterways, affecting third spaces and the water quality of drinking water.

3. **What responsibilities should businesses have for those impacts?**

    Although businesses are legally mandated to obey the laws controlling their business operations, they have the responsibility to uphold their integrity outside of the law. The impacts of businesses on external stakeholders is often neglected by the law, and may allow businesses to operate in ways that damage both social and environmental sustainability. It is the responsibility of the business to identify such shortcomings, and respond appropriately.